GRADE 11 / Accounting / English

Partnership profit appropriation

01 Understand

Learning goals: Distinguish expenses from appropriations • Calculate a residual profit share • Apply a partnership agreement consistently

In a school partnership appropriation calculation, partners’ salaries and interest on capital allocate profit according to the agreement.

Deduct the agreed appropriations from net profit to find residual profit. Divide the residual using the agreed profit-sharing ratio.

A partner’s drawings are not a business operating expense. Keep capital, current accounts and cash movements distinct.

Illustrative agreement and annual allocation

Allocation	Partner A	Partner B
Salary	R30 000	R20 000
Interest on capital	R5 000	R3 000
Residual ratio	3 parts	2 parts

02 Follow the reasoning

Net profit is R100 000. Use the table to calculate each partner’s total appropriation.

1. Total salary and interest = 30 000 + 20 000 + 5 000 + 3 000 = R58 000.

2. Residual = 100 000 − 58 000 = R42 000. A gets 3/5 × 42 000 = R25 200; B gets R16 800.

3. A total = R60 200; B total = R39 800. Their totals reconcile to R100 000.

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Practise with purpose

03 Try before checking

Use paper or your notebook. Show your reasoning. For written responses, use evidence and explain your choices. Suggested time: 15–20 minutes.

1. Calculate 10% interest on capital of R80 000 for a full year.

2. Split residual profit R25 000 in the ratio 2 : 3.

3. Why should partner drawings not reduce net profit?

04 Check and correct

1. R8 000.

2. R10 000 and R15 000 respectively.

3. Drawings are withdrawals by owners, not costs incurred to earn business revenue.

Common mistake to avoid

Do not apply the residual sharing ratio to the whole net profit before the agreed salaries and interest.

Reflect and revisit

Identify one correction in your own words. Attempt a similar question tomorrow without looking at the guide. If you are still unsure, take your attempt to a teacher or tutor.

Coverage and sources

CAPS topic focus: Financial accounting: partnerships

DBE CAPS, Grades 10–12: Accounting. Section 3 content and skills. This is a focused supplement, not a complete syllabus or prescribed literature replacement.

Open the official DBE curriculum reference

Content and visuals: original SmartBridge FET. AI-assisted authoring; subject-teacher and language-specialist review pending. Report an issue with the pack ID acc-11.